



Buyer Targeting Strategy

Who Will Acquire Inspironics – and Why

WEDBUSH M&A ADVISORY

Buyer Universe — Three Distinct Acquirer Profiles



Strategic Buyers

- ESG Platforms / Sustainability SaaS
- Industrial IoT / AIoT Platforms
- Smart Infrastructure / Buildings
- Hospitality Tech Platforms

Intent: Platform expansion + ESG capability acquisition



Private Equity / Growth Equity

- ESG-focused funds
- Digital Infrastructure roll-ups
- SaaS platform aggregators

Intent: Build + scale + exit (3–5 year horizon)



Global Tech Majors

- Cloud hyperscaler ecosystem players
- AI / Data platform companies
- IoT ecosystem integrators

Intent: Vertical integration + data monetization

Why Inspironics Is Strategically Attractive

Inspironics sits at the intersection of two high-conviction macro themes – ESG compliance and AIoT infrastructure – making it a rare, defensible asset in a crowded market.



ESG + AIoT Convergence

Rare category leadership at the intersection of two explosive growth vectors

Multi-Platform Architecture

Not a point solution – a composable intelligence layer built to integrate

Ready-to-Scale SaaS Model

Recurring revenue base with proven cross-industry deployment

Cross-Industry Applicability

Inspironics is purpose-built to deploy across verticals — each representing a distinct buyer segment and a distinct revenue opportunity.



Hospitality

Energy optimization and guest experience intelligence for hotels and resorts



Healthcare

Environmental monitoring and regulatory compliance for clinical facilities



Commercial Real Estate

ESG compliance reporting and smart building management at portfolio scale



Data Centers

Carbon footprint reduction and power usage effectiveness (PUE) optimization

 **Positioning:** "Plug-and-play ESG Intelligence Layer for existing platforms" — acquirers inherit immediate cross-vertical market access.

Buyer Prioritization — Tiered Targeting Framework

Wedbush will curate outreach sequencing based on strategic fit, valuation premium potential, and deal execution probability.

Tier	Buyer Type	Probability	Rationale
 Tier 1	ESG + AI Platforms	High	Direct synergy with existing stack; commands premium valuation multiples
 Tier 2	IoT / Smart Infrastructure	Medium	Platform expansion play; ESG layer fills a known capability gap
 Tier 3	PE / Roll-up Funds	Medium	Financial upside driven by SaaS multiple expansion and bolt-on strategy
 Tier 4	Large Tech / Cloud	Selective	Strategic fit dependent; high upside if ecosystem alignment confirmed

Wedbush Broker Role — Driving Competitive Tension



Curate Buyer List

Identify and qualify Tier 1–4 targets across strategic and financial buyer universe



Position the Narrative

Craft and deliver the ESG + AIoT convergence story to maximize perceived strategic value



Drive Competitive Tension

Run a structured process that creates urgency, multiplies inbound interest, and lifts price

"We are not selling a product — we are offering a strategic platform advantage."

Deal Structuring Strategy

Maximizing Exit Value Through Disciplined Structure

SLIDE 4 – NEGOTIATION ARCHITECTURE



Three Paths to Exit — Structure Options Defined

Option A — All-Cash Exit

- Clean, immediate liquidity for all shareholders
- Lowest execution complexity and timeline risk
- Potential valuation discount vs. earnout scenarios

Option B — Cash + Earnout

- Partial upfront cash + performance-linked upside
- Aligns with platform growth and SaaS scaling story
- Maximizes total valuation realization over 2–3 years

Option C — Strategic Acquisition

- Full platform integration into acquirer ecosystem
- Premium valuation achievable with strong buyer fit
- May include equity rollover for founder continuity

Trade-Off Matrix — Evaluating the Options

Each structure carries a distinct risk/return profile. The optimal path depends on buyer quality, competitive tension, and management's liquidity preferences.



Factor	Cash	Earnout	Strategic
Upfront Liquidity	High	Medium	Medium
Total Value Potential	Medium	High	Very High
Execution Risk	Low	Medium	Medium
Deal Complexity	Low	Medium	High

Recommended Approach — Layered Strategy

1

● **Stretch: Strategic Deal with Equity Upside**

Full ecosystem integration + equity rollover if premium buyer identified

2

● **Fallback: All-Cash at Premium Valuation**

Execute clean exit if competitive tension drives price to ceiling

3

● **Primary: Cash + Earnout Hybrid**

Secure downside protection with cash; capture platform scaling upside through earnout milestones aligned to ESG + AIoT growth

Value Dependencies — What Determines Final Deal Quality

Regardless of structure selected, four factors will define whether Inspironics realizes its ceiling valuation — not just a satisfactory exit.



Data Room Strength

Clean financials, IP documentation, and customer contracts reduce buyer risk and support premium pricing



Clean Cap Table

Absence of complex ownership structures or encumbrances accelerates close and reduces legal friction



Runway Stability

Adequate operating runway prevents distressed pricing signals during an extended buyer process



Buyer Competition

Multiple qualified bids create genuine tension — the single most powerful lever on final valuation

"Structure defines outcome — not just valuation."